ZIMSEC A'LEVEL ACCOUNTING J2025 PAPER 03 SOLUTIONS BY MR SPOTTER

(1ai).Income Statement for the year ended 31 December 2019

	$	$
Sales(150 000+25 000+12 000+24 500+ 2 000+4 000)		217 500
Less Cost Of Sales		
Opening inventory	22 000	
add Purchases(24 500+141 500-1300)	164 700	
	186 700	
less Closing Inventory	(12 700)	
Cost of sales		(174 000)
Gross Profit		43 500
Less Expenses		
Rent(6 000-250-800)	4 950	
Insurance(450+240+130)	820	
Salaries and wages(4 000+4 000)	8 000	
Sundry shop expenses	2 000	
loss on disposal of motor vehicle	500	
Depn—Fixtures and Fittings(20%×15 000)+(20% + 4 000)	3 800	
—Motor Vehicle(10% × 9 000)	900	
Allowance for doubtful debts 5% × (4 500+12 000)	825	
loss on damaged inventory by fire(12 700-10 000)	2 700	
Total Expenses		(24 495)
Net Profit		19 005

Workings

1. Trade receivables Control A/c

	$		$
Bal b/d Credit sales	8 000 25 000	Bank Bal c/d	28 500 4 500
	33 000		33 000

2. Trade Payables Control A/c

	$		$
Bank Bal c/d	140 000 15 500	Bal b/d Credit purchases	14 000 141 500
	155 500		155 500

3. Mark-up = $\dfrac{\text{Gross Profit}}{\text{Cost of sales}}$ = 25%

Margin = $\dfrac{\text{Gross Profit}}{\text{Sales}}$ = 20% $\dfrac{\text{GP}}{217\ 500}$ = 20%

Gross Profit = 20% × $217 500 = $43 500

4. Disposal A/c –Motor Vehicle

	$		$
Cost	7 000	Acc depn Bank loss on disposal	5 500 1 000 500
	7 000		7 000

5. Statement of affairs

Assets	$
Land and buildings	35 000
Fixtures and fittings	15 000
Motor Vehicle	1 500
Trade receivables	8 000
Inventory	22 000
Insurance prepaid	240
Bank	30 000
	111 740
less Liabilities	
Trade payables	(14 000)
Rent Accrued	(250)
Capital at 1 January 2019	97 490

(aii). **Statement of financial position as at 31 December 2019**

Non-Current Assets	COST $	ACC DEPN $	NBV $
Land and Buildings	35 000	—	35 000
Fixtures and Fittings	26 000	(10 800)	15 200
Motor Vehicle	9 000	(900)	8 100
Current Assets			58 300
Trade receivables(16 500-825)		15 675	
Inventory		10 000	
Bank		26 050	
Rent prepaid		800	
		52 525	
Less Current liabilities			
Trade payables	15 500		
Insurance accrued	130	(15 630)	
			36 895
Capital at 31 December 2019			95 195
Capital at 1 Jan 2019			97 490
Add Net profit			19 005
			116 495
less Drawings(20 000+1 300)			(21 300)
Capital at 31 December 2019			95 195

b.Advantages:

-Faster and more accurate processing of financial data.

-Easy generation of financial reports (e.g., income statements, balance sheets).

Disadvantages:
-High initial cost of software and training.
-Risk of data loss or cyberattacks if not properly secured.

2a.Cash Budget for ABC Limited for the three months ending 31 December 2019

Receipts	October $	November $	December $
Cash Sales	14 400	11 200	16 000
Receipts from debtors:month 1	7 056	10 584	8 232
month 2	5 820	6 984	10 476
Total Receipts	27 276	28 768	34 708
Payments			
Direct Materials	9 000	7 000	10 000
Direct labour	3 500	5 000	4 000
Direct Expenses	4 900	7 000	5 600
Variable Selling Expenses(on Sales)	2 700	2 100	3 000
Fixed Expenses(1 500-300)	1 200	1 200	1 200
Plant and Machinery	7 500	7 500	7 500
Total Payments	28 800	29 800	31 300
Net receipts/payments	(1 524)	(1 032)	3 408
add opening bank balance	4 000	2 476	1 444
Closing bank balance	2 476	1 444	4 852

Workings

	August	Sept	Oct	Nov	Dec	Jan
Total Sales	$20 000	$24 000	$36 000	$28 000	$40 000	$32 000
CashSale-40%	$8 000	$9 600	$14 400	$11 200	$16 000	$12 800
Debtors-Month1		$5880	$7 056	$10 584	$8 232	$11 760
Debtors-Month2			$5 820	$6984	$10 476	$8 148
Production units	600	900	700	1 000	800	
DM purchased	$9 000	$7 000	$10 000	$8 000		
DM payment			$9 000	$7 000	$10 000	

Receipts from debtors:months 1, 30% of total sales are paying in the month following the sale and receive 2% cash discount,,,You have to find 30% of total sales first and then deduct 2% cash discount, or multiply by 98% e.g for those in September Paying in October, 30% × $24 000 × 98% =$7056

Receipts from debtors:months 2, The balance pay two months after sale except for 3% which will be bad debts,,,,You have to find the balance first which is 30% of

Total Sales and the you deduct 3% bad debts, or you multiply by 97%,,e.g the balance in August which will be received in October, 30% × $20 000 × 97%

Production units, Monthly production will be equal to the following month's sales, which means that, the units sold in the following month are the production of the previous month e.g the production units for June are the sales units in July.

Direct Materials, They are one month before they are needed for production and will be paid two months after purchase..e.g the direct materials for september which are ($10 × 900) $9 000 are to be purchased in August and then pay them after 2 months which is in October…..

(b) (30% × $28 000 in November) + (60% × $40 000)
$8 400+$24 000
$32 400

(c) Fixed costs do not change as output changes whilst variable costs change as output changes.

(d) (i) Research expenditure is treated as an expense and written off to the income statement.

(ii) Development expenditure is capitalized as an asset if certain criteria are met; otherwise, it is expensed.

(e) A principal budget factor is the key constraint that limits an organization's activities. Example: sales demand, shortage of labour, shortage of materials e.t.c

3a.Non-current asset schedule as at 31 December 2020

COST	Freehold Land &Buildings $	Plant&Machinery $	MotorVehicle $	Property $
At 1 January 2020	1 000 000	560 000	100 000	150 000
Additions	—	80 000	25 000	—
Disposals	—	(120 000)	(70 000)	—
At 31 December 2020	1 000 000	520 000	55 000	150 000
Acc Depreciation				
At 1 January 2020	—	184 000	38 125	—
Charge for the year	35 000	104 000	11 875	7 500
Disposals	—	(44 000)	(30 625)	—
At 31 December 2020	35 000	244 000	19 375	7 500
NBV at 31 Dec 2020	965 000	276 000	35 625	142 500

Workings

1.Accumulated depreciation at 1 Jan 2020:

- Machinery 1: 20% × $360 000 × 2yrs = $144 000
- Machinery 2: 20% × $200 000 × 1yr = $40 000
  Acc depn at 1 Jan 2020 = $144 000+$40 000= $184 000
- Motor Vehicle 1: 2018, 25% × $70 000 = $17 500
  2019, 25% × ($70 000-$17 500) = $13 125
- Motor Vehicle 2: 2019, 25% × $30 000 = $7 500
  Acc depn at 1 Jan 2020=$17 500+$13 125+$7 500=$38 125

2.Depreciation charge for the year ended 31 Dec 2020

- Buildings = $\frac{\$700\ 000}{20yrs}$ = $35 000
  NB:Freehold land is not depreciated because it has an unlimited useful life.Land is considered a permanent asset, so it doesn't lose value due to usage or time, which is why depreciation isn't charged on it.
- Property = $\frac{\$150\ 000}{20yrs}$ = $7 500
- Machinery : 20% × $520 000 = $104 000

NB:If we are using a straight line method to calculate depreciation and we are given a policy which states that a full year depreciation is charged in the year of purchase and non in the year of disposal, we multiply the cost of assets at the year end by the depreciation rate given….

OR 20% × $560 000=$112 000
20% × $100 000= ($20 000)
. 20% × $20 000 = ($4 000)
20% × $80 000 = $16 000

$112 000-$20 000-$4 000+$16 000 =$104 000

- Motor vehicle1: 2019, 25% × $30 000 = $7 500
  2020, 25%×($30 000-$7 500) = $5 625

  Motor vehicle2: 2020, 25% ×$25 000=$6 250
  Charge for 2020 = $5 625 + $6 250

3.Accumulated depreciation on Assets disposed:

- Machinery, 20% × $100 000 ×2yrs = $40 000
  20% × $20 000 × 1yr = $4 000

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$44 000

- Motor Vehicle,, 2018
  25% × $70 000 = $17 500

  2019
  25%×($70 000–$17 500)= $13 125

  $30 625

(b)Items included in the directors report:

–Names of directors of the company.
–Directors shareholding.
–Principal activities of the company.
–Health & Safety at workplace.
–Dividend proposed.
–Amount transfered to reserves.

(.C)-Going concept.
Non-current assets are recorded at Net Book Value.

-Prudence concept.
Depreciation charge is accounted for as an expense and deducted from cost of the asset inorder to avoid overstating non-current assets.

-Consistency concept.
Depreciation policy should be applied using the same method throught the life of an asset.

-Matching concept.
Matching revenue and costs by writing off depreciation charge against revenue generated by the asset.

(4ai) Interest Cover

$$\frac{\text{Profit from operations}}{\text{Interest paid}}$$

$$\frac{\$1\ 500\ 000}{\$300\ 000}$$

5times

(ii) Dividend cover

$$\frac{\text{Profit after interest, tax \& preference dividend}}{\text{Ordinary dividend paid}}$$

$$\frac{\$1\ 500\ 000 - \$300\ 000 - \$400\ 000 - \$100\ 000}{\$300\ 0000}$$

$$\frac{\$700\ 000}{\$300\ 000}$$

2,33 times

(iii) Earnings per share

$$\frac{\text{Profit after interest, tax \& preference dividend}}{\text{Number of ordinary shares}}$$

$$\frac{\$700\ 000}{600\ 000}$$

$1,17 per share or 117 cents

(iv) Price Earnings ratio

$$\frac{\text{Market price per share}}{\text{Earnings pe share}}$$

$$\frac{\$30}{\$1{,}17}$$

25,64times

(v) Dividend yield

$$\frac{\text{Dividend per share}}{\text{Market price per share}} \times 100\%$$

$$\text{DPS} = \frac{\$300\ 000}{600\ 000}$$

$0,50

$$\frac{\$0{,}50}{\$30} \times 100\%$$

1,67%

(v)Gearing

$$\frac{\text{Fixed Cost capital}}{\text{Total Capital}} \times 100\%$$

Fixed cost capital = Non-current liabilities

Total Capital = Fixed cost capital + Equity

Fixed Cost capital = Debentures + Redeemable Preference shares

Debentures:

20% × Debentures = $300 000

Debentures = $300 000 ÷ 20%
$1 500 000

Equity = Issued capital + reserves,,,NB: Retained earnings is the only reserve in this business

Retained earnings=$1 500 000-$300 000-$400 000-$100 000-$300 000=$400 000.

$$\frac{\$1\ 500\ 000 + \$2\ 000\ 000}{\$3\ 500\ 000 + \$6\ 000\ 000 + \$400\ 000} \times 100\%$$

35,35%

(b)Interest Cover
-In 2017, the interest cover was 6 times, but in 2018 it decreased to 5 times.

-Probable cause: The decrease may be due to an increase in finance costs (debenture interest) or a reduction in operating profit, making it harder to cover interest obligations.

Dividend Cover
-Dividend cover declined from 3 times in 2017 to 2.33 times in 2018.

-Probable cause: This suggests that the company paid a larger portion of its profits as dividends, or had reduced net profits available for ordinary shareholders.

Price Earnings Ratio(PER)
-The P/E ratio increased slightly from 25 times in 2017 to 25.64 times in 2018.

-Probable cause,This may indicate growing investor confidence or an increase in market share price, while earnings remained relatively stable.

Gearing
Gearing improved, decreasing from 40% in 2017 to 35.35% in 2018.

-Probable cause:The business may have repaid some debt or retained more earnings, reducing reliance on borrowed funds and improving financial stability.

(c) Limitations of ratio analysis

-Based on historical data.
-Do not consider non-financial factors.
-Difficult for managers with poor mathematical skills.
-Can be affected by changes in the value of money over time

THE END…..If you spot any errors and inconsistencies let me know. Your feedback is appreciated to improve accuracy.